

MEMORANDUM OF UNDERSTANDING

Technology Integration Partnership

Between GuardSpine and Proprioceptive AI

Effective Date: February 10, 2026

PARTIES

(1) GuardSpine

Representative: David Youssef, Founder

Product: Open-source governance layer for AI-assisted work

Website: <https://guardspine.dev>

(2) Proprioceptive AI

Representative: Logan Napolitano, CEO

Product: Model introspection technology for extraction of
internal model state data, protected by patent
applications filed with the USPTO

Website: [\[proprioceptiveai.com\]](https://proprioceptiveai.com)

1. BACKGROUND AND STRATEGIC RATIONALE

1.1 GuardSpine provides cryptographically sealed evidence bundles that capture how AI-assisted work was reviewed, approved, and governed. These bundles currently include a "confidence" field that relies on model self-reported confidence scores -- a known limitation, as self-reported scores lack independent verification.

1.2 Proprioceptive AI has developed technology ("Cognitive Probes") protected by patent applications filed with the United States Patent and Trademark Office, that extracts internal model state data -- including confidence-correlated signals, uncertainty metrics, and drift indicators -- from model hidden layers, independent of model self-reporting.

1.3 The integration of Proprioceptive AI's Cognitive Probe technology into GuardSpine's evidence bundles would supplement self-reported confidence with independently extracted model state data. The Parties intend to validate during the Pilot Period whether this data meets the accuracy, calibration, and reliability standards required for inclusion in audit-grade evidence bundles.

1.4 Mutual benefit:

FOR GUARDSPINE: A differentiated capability protected by Proprioceptive AI's patent portfolio that strengthens evidence bundle integrity and creates competitive advantage in the AI governance market, subject to technical validation.

FOR PROPRIOCEPTIVE AI: A production-grade commercial use case demonstrating practical value of Cognitive Probe technology, supporting investor relations and EU AI Act compliance positioning.

2. DEFINITIONS

For the purposes of this MOU:

- 2.1 "Cognitive Probes" means Proprioceptive AI's technology for extracting internal state data from machine learning models, including all related patents, patent applications, trade secrets, and proprietary methods.
- 2.2 "Evidence Bundles" means GuardSpine's cryptographically sealed artifacts that document AI-assisted work, including risk tier assessments, approval chains, hash chains, and metadata.
- 2.3 "Probe Data" means the processed output of Cognitive Probes when applied to a model, consisting of derived metrics (confidence-correlated scores, uncertainty bounds, drift indicators) rather than raw activation values or model weights.
- 2.4 "Enterprise Tier" means GuardSpine's paid product tier that includes Probe Data as an active feature, as distinct from GuardSpine's open-source packages and free tier.
- 2.5 "AI Governance Field" means the use of software tools specifically for:

IN-FIELD (affirmative examples):

- (a) Risk tiering of AI-generated code changes for review prioritization (e.g., GuardSpine's L0-L4 risk tiers);
- (b) Generating cryptographically sealed evidence of AI-assisted work review and approval;
- (c) Producing compliance evidence bundles for regulatory frameworks (e.g., SOC2, HIPAA, EU AI Act);
- (d) Offline verification of semantic content changes made by AI systems;
- (e) Audit trail generation for AI-assisted document, code, or data modifications.

OUT-OF-FIELD (excluded, non-exhaustive):

- (f) General AI observability and monitoring platforms (e.g., Datadog, Weights & Biases, Arize);
- (g) Model performance monitoring and ML experiment tracking;
- (h) AI safety research and academic research;
- (i) Standalone hallucination detection products marketed and sold independently of governance evidence generation;
- (j) Model evaluation benchmarking;

- (k) CI/CD pipeline quality gating that does not generate sealed evidence bundles;
- (l) Developer observability tools that do not produce audit-grade compliance artifacts.

BOUNDARY RULE: A product falls within the AI Governance Field if its primary marketed purpose is generating verifiable, audit-grade evidence of AI-assisted work governance. Products where governance evidence is incidental to a primary observability, monitoring, or safety function are out-of-field.

2.6 "Probe-Enabled Revenue" means the portion of Enterprise Tier subscription revenue attributable to customers who have activated Probe Data features, calculated as set forth in Sections 4.3 and 4.4.

2.7 "Claims" means any written demand, lawsuit, arbitration, regulatory action, or formal written allegation by a third party (including written notices from model providers alleging ToS violation) that seeks damages, injunctive relief, account termination, or other adverse action.

2.8 "Pilot Period" means the six (6) month period beginning on the date both Parties execute this MOU and the accompanying Mutual NDA, subject to extension per Section 15.4.

2.9 "Transition Period" means the ninety (90) day period following termination under Section 10.2(b), during which Proprioceptive AI continues to provide API access as set forth in Section 10.2(b)(iii).

3. SCOPE OF INTEGRATION

3.1 PHASE 1 -- Pilot Integration (Months 1-6):

- (a) Proprioceptive AI provides API access or SDK for Cognitive Probe integration, with documentation sufficient for GuardSpine's engineering team to implement the integration.
- (b) GuardSpine integrates Probe Data into its evidence bundle schema, specifically:
 - A "probe_confidence" field distinct from the existing "model_confidence" field, with clear provenance marking
 - Per-change confidence-correlated scores with uncertainty bounds
 - Drift and hallucination indicators (where available)
 - Cryptographic attestation linking Probe Data to the specific model invocation it measures
- (c) GuardSpine retains the existing "model_confidence" field. Probe Data supplements but does not replace self-reported

data, ensuring graceful degradation if probe services are unavailable.

(d) Pilot success criteria (ALL must be met for Phase 2):

- i. Probe Data successfully embedded in evidence bundles and passes GuardSpine's verification toolchain
- ii. End-to-end latency overhead does not exceed 200ms per evidence bundle at p95, measured as a single probe API call per bundle (if multiple probe calls per bundle are required, the aggregate shall not exceed 500ms at p95)
- iii. At least one enterprise prospect has reviewed and provided written feedback on the enhanced bundle
- iv. Probe Data accuracy validated against a mutually agreed calibration protocol, to be defined during Month 1, including at minimum: expected calibration error (ECE), selective prediction curves, and comparison against model self-reported baselines
- v. No unresolved IP or ToS conflicts identified per Section 7

3.2 PHASE 2 -- Production Integration (post-pilot, subject to separate binding agreement):

- (a) Full integration across GuardSpine's Enterprise Tier
- (b) Joint marketing and co-selling arrangements
- (c) Expansion to document and spreadsheet governance
- (d) Terms, pricing, and SLAs for Phase 2 to be negotiated during Months 5-6 of the Pilot Period

4. COMMERCIAL TERMS

4.1 Pilot License Grant [BINDING]: Proprioceptive AI grants GuardSpine a non-transferable (except as provided in Section 10), non-sublicensable license to integrate Cognitive Probe technology and distribute Probe Data within GuardSpine's Evidence Bundle products during the Pilot Period and any Transition Period (Section 10.2(b)(iii)).

CLARIFICATION: GuardSpine's end users receive Probe Data as embedded components of Evidence Bundles. This does not constitute sublicensing of Cognitive Probe technology itself. End users receive derived data outputs, not access to probe technology, source code, or methods.

4.2 Post-Termination Embedded Data Rights [BINDING]: Upon expiration or termination of this MOU for any reason, GuardSpine retains a perpetual, irrevocable, royalty-free

right to retain, use, display, verify, and distribute Probe Data solely as embedded within Evidence Bundles generated during the Pilot Period (and any Transition Period). This right is limited to Probe Data already embedded in existing bundles and does not include the right to generate new Probe Data or call the Cognitive Probe API after termination. GuardSpine may re-verify such bundles using locally cached Probe Data without requiring API access.

4.3 Revenue Share: In consideration for the license, GuardSpine shall pay Proprioceptive AI a revenue share of [____]% of Probe-Enabled Revenue.

NEGOTIATION NOTE: Suggested range 8-15%.

4.4 Revenue Calculation Methodology:

- (a) Probe-Enabled Revenue equals the subscription fees received from Enterprise Tier customers who have the Probe Data feature flag enabled during the billing period.
- (b) If GuardSpine offers the Enterprise Tier in bundled packages where Probe Data cannot be separately priced, Probe-Enabled Revenue shall be calculated as:
$$(\text{Enterprise Tier revenue}) \times (\text{customers with Probe Data enabled} / \text{total Enterprise Tier customers}).$$
- (c) Feature flag status is determined at the account level. A customer is "Probe-enabled" if the feature flag was active for any portion of the billing period exceeding seven (7) consecutive days. Shorter activations (trials, testing) are excluded.
- (d) Revenue share does not apply to: open-source packages, free tier, professional services, consulting, one-time setup fees, or revenue from customers who deactivate Probe Data features, prorated from the deactivation date.

4.5 Reporting and Audit:

- (a) GuardSpine shall provide Proprioceptive AI with quarterly revenue reports within thirty (30) days of quarter-end, showing: total Enterprise Tier revenue, number of Probe-enabled customers, Probe-Enabled Revenue calculation, and revenue share payment due.
- (b) Proprioceptive AI may, at its own expense and no more than once per calendar year, engage an independent auditor reasonably acceptable to GuardSpine to verify revenue reports. The audit shall be limited to records directly relevant to Probe-Enabled Revenue calculation. If the audit reveals an underpayment exceeding 5%,

GuardSpine shall bear the audit cost and pay the shortfall plus 1.5% monthly interest from the date due.

4.6 Payment Terms: Quarterly, net 30 days from delivery of revenue report. Payments in USD via wire transfer or ACH.

4.7 Minimum Commitment: No minimum revenue guarantee during the Pilot Period. This MOU does not obligate GuardSpine to achieve any sales targets.

5. EXCLUSIVITY [BINDING]

5.1 Exclusive Field: During the Pilot Period and any subsequent production agreement, Proprioceptive AI shall not license, sell, or provide Cognitive Probe technology or Probe Data for use within the AI Governance Field (as defined in Section 2.5) to any third party.

5.2 Retained Rights: Proprioceptive AI retains all rights to license its technology for any use case OUTSIDE the AI Governance Field, including but not limited to all uses listed in Section 2.5(f)-(l).

5.3 Exclusivity Conditions: The exclusivity in Section 5.1 is contingent on ALL of the following objective milestones:

- (a) GuardSpine ships a beta of Probe-enabled Evidence Bundles to at least one enterprise prospect by the end of Month 4;
- (b) GuardSpine includes Probe Data in at least three (3) enterprise prospect demonstrations by the end of Month 5;
- (c) Probe-Enabled Revenue reaches at least \$[____] within the Pilot Period (or any mutually agreed extension).

NEGOTIATION NOTE: Suggest \$25,000-\$50,000.

If ANY condition is not met, Proprioceptive AI may convert the exclusivity to non-exclusive by providing sixty (60) days written notice to GuardSpine. During the 60-day notice period, GuardSpine may cure by meeting the unmet condition(s).

5.4 GuardSpine's Independent R&D: Nothing in this MOU restricts GuardSpine from independently researching, developing, or implementing confidence extraction methods that do not use, reference, or derive from Proprioceptive AI's Confidential Information, patents, or Cognitive Probe technology. For avoidance of doubt, GuardSpine may continue to use and improve its existing model self-reported confidence features without restriction.

5.5 Most Favored Nation: If Proprioceptive AI, during the term of the exclusivity, enters into a licensing arrangement with any third party for use of Cognitive Probe technology at a revenue share rate lower than the rate in Section 4.3, Proprioceptive AI shall notify GuardSpine within thirty (30) days, and GuardSpine's rate shall adjust to match the lower rate prospectively from the next billing period.

6. SERVICE LEVELS AND TECHNICAL OBLIGATIONS [BINDING]

6.1 API Availability: During the Pilot Period, Proprioceptive AI shall use commercially reasonable efforts to maintain Cognitive Probe API availability of at least 99.0% uptime, measured monthly, excluding scheduled maintenance windows communicated at least 48 hours in advance. Scheduled maintenance shall not exceed eight (8) hours per calendar month. Emergency maintenance (security patches, critical failures) is excluded from uptime calculation if notice is provided as soon as practicable.

6.2 Latency: Probe API response time shall not exceed 200ms at p95 under normal operating conditions, defined as fewer than 100 concurrent requests per second.

6.3 SLA Remedies: If API availability falls below 99.0% in any calendar month:

(a) Below 99.0% but above 95.0%: Proprioceptive AI shall provide a written root cause analysis within five (5) business days.

(b) Below 95.0% in any single month, or below 99.0% for two (2) consecutive months: GuardSpine may terminate this MOU per Section 11 without penalty, with the Transition Period in Section 10.2(b)(iii) applying.

6.4 Graceful Degradation: GuardSpine's evidence bundle pipeline shall be designed such that Probe API unavailability does NOT block evidence bundle generation. Bundles generated during probe outages shall include the "model_confidence" field and a machine-readable flag indicating probe data was unavailable.

6.5 Support: Proprioceptive AI shall provide engineering support during integration, including a designated technical contact available during US business hours (Eastern Time), with target response time of one (1) business day for non-critical issues and four (4) hours for service-affecting issues.

6.6 Documentation: Proprioceptive AI shall provide and maintain API documentation, integration guides, and a test/sandbox environment for development purposes.

7. THIRD-PARTY MODEL PROVIDER COMPLIANCE [BINDING]

- 7.1 Acknowledgment of Risk: Both Parties acknowledge that Cognitive Probes interact with internal states of third-party machine learning models (e.g., models provided by OpenAI, Anthropic, Google, Meta, or other providers). Such interaction may be subject to the model providers' terms of service, acceptable use policies, or license agreements.
- 7.2 Compliance Representation: Proprioceptive AI represents that, as of the Effective Date, it has reviewed the terms of service of the following model providers: [to be enumerated during Month 1 joint review], and is not aware of any provision that explicitly prohibits the type of model introspection performed by Cognitive Probes in the deployment modes contemplated by this MOU. This representation is limited to the terms of service as published on the Effective Date and does not cover future changes.
- 7.3 Joint Risk Assessment: Within the first thirty (30) days of the Pilot Period, both Parties shall jointly conduct a compliance review covering at minimum: OpenAI, Anthropic, Google (Gemini), and Meta (Llama) terms of service as they relate to model introspection. The review shall produce a written risk assessment signed by both Parties.
- 7.4 Material Conflict: If a material conflict is identified -- defined as a major model provider (one representing more than 30% of GuardSpine's signed Enterprise Tier customers or, if no customers yet, 30% of GuardSpine's top-10 target accounts) explicitly prohibiting the type of introspection Cognitive Probes perform -- either Party may terminate this MOU per Section 11, and no exclusivity penalty shall apply.
- 7.5 Indemnification for IP Claims: Proprioceptive AI shall indemnify, defend, and hold harmless GuardSpine from any third-party Claims (as defined in Section 2.7) alleging that GuardSpine's authorized use of Cognitive Probes infringes that third party's patents or intellectual property rights, provided that GuardSpine (a) provides prompt written notice of the Claim; (b) grants Proprioceptive AI sole control of the defense and settlement (provided no settlement imposes obligations on GuardSpine without consent); and (c) cooperates reasonably at Proprioceptive AI's expense.

7.6 ToS Violation Handling: If a model provider issues a written notice alleging that use of Cognitive Probes violates its terms of service, Proprioceptive AI shall (a) promptly notify GuardSpine; (b) use commercially reasonable efforts to resolve the matter with the provider; and (c) if the matter is not resolved within thirty (30) days, either Party may terminate this MOU per Section 11 without penalty. This provision operates through the termination mechanism, not through indemnification.

7.7 Indemnification Cap: Proprioceptive AI's aggregate liability under Sections 7.5 and 9.3 shall not exceed \$[250,000] or the total revenue share payments made under this MOU, whichever is greater.

8. INTELLECTUAL PROPERTY [BINDING]

8.1 Pre-Existing IP: Each Party retains all rights, title, and interest in its pre-existing intellectual property.

- (a) Proprioceptive AI: All patents, patent applications, trade secrets, and proprietary methods related to Cognitive Probes.
- (b) GuardSpine: All rights to its evidence bundle architecture, governance framework, open-source packages, hash chain algorithms, and compliance rubric systems.

8.2 Integration Work Product: Code, schemas, adapters, or documentation created during integration shall be owned by the Party whose personnel authored the work. Specifically:

- (a) Work product authored by Proprioceptive AI personnel: owned by Proprioceptive AI, with a perpetual, royalty-free license granted to GuardSpine for use within Evidence Bundle products.
- (b) Work product authored by GuardSpine personnel: owned by GuardSpine, with a perpetual, royalty-free license granted to Proprioceptive AI for use in demonstrating integration capabilities.
- (c) Work product co-authored by personnel of both Parties: jointly owned, with each Party having an independent, perpetual, royalty-free right to use, modify, and sublicense such work product, provided that neither Party may grant rights to jointly-owned work product that would conflict with the other Party's pre-existing IP rights.
- (d) Open-source protection: No Proprioceptive AI-owned code shall be committed to GuardSpine's open-source repositories

without Proprioceptive AI's prior written consent specifying the applicable open-source license.

8.3 Improvement Patents: Neither Party shall file patent applications that claim the other Party's pre-existing technology. If either Party develops patentable improvements to its OWN technology during the integration, it retains sole ownership of such improvement patents.

8.4 No Implied License: Except as expressly stated in this MOU, no license is granted by either Party under any patent, copyright, trade secret, or other intellectual property right.

9. PATENT WARRANTY AND VALIDITY [BINDING]

9.1 Proprioceptive AI represents that, to the best of its knowledge as of the Effective Date:

- (a) It is the sole owner or exclusive licensee of all patent applications and patents (if any have issued) related to Cognitive Probes;
- (b) It has the legal authority to grant the license in Section 4.1;
- (c) It is not aware of any pending or threatened challenges to the validity of its patent applications or patents;
- (d) It is not aware of any third-party intellectual property that would be infringed by GuardSpine's use of Cognitive Probes as contemplated herein.

9.2 Patent Challenge: If any Proprioceptive AI patent that is material to the Cognitive Probe technology is invalidated, held unenforceable, or materially narrowed by a final, non-appealable court or patent office decision:

- (a) The revenue share in Section 4.3 shall be reduced by 50% for the duration of the remaining term;
- (b) GuardSpine may, at its option, terminate this MOU without penalty upon thirty (30) days written notice;
- (c) Exclusivity obligations in Section 5 survive only if both Parties agree in writing to continue.

9.3 Patent Infringement Defense: Proprioceptive AI shall indemnify and defend GuardSpine against any third-party Claim that GuardSpine's authorized use of Cognitive Probes infringes that third party's patent rights, subject to the procedures in Section 7.5(a)-(c) and the cap in Section 7.7.

10. CHANGE OF CONTROL [BINDING]

10.1 Notice Requirement: Either Party shall provide the other Party with written notice as soon as practicable, and in any event no later than fifteen (15) days prior to the closing of any change of control event (to the extent permitted by applicable law and the terms of the transaction), including: merger, acquisition, sale of substantially all assets, or transfer of a majority of equity interests.

10.2 Consent: If Proprioceptive AI undergoes a change of control, GuardSpine may, within thirty (30) days of receiving notice:

(a) Consent to the assignment of this MOU to the successor entity; OR

(b) Terminate this MOU, in which case:

i. GuardSpine retains the post-termination rights in Section 4.2 (perpetual embedded data rights);

ii. GuardSpine retains the perpetual licenses in Section 8.2;

iii. A Transition Period of ninety (90) days shall apply, during which Proprioceptive AI (or its successor) continues to provide API access to allow GuardSpine to complete in-progress integrations, generate final evidence bundles, and migrate away from probe dependency. During the Transition Period, GuardSpine may continue to generate new Probe Data bundles.

10.3 Source Code Escrow: The Parties shall negotiate in good faith the terms of a source code escrow arrangement during the Pilot Period, with the intent to execute an escrow agreement as part of any Phase 2 definitive agreement. Key terms to be negotiated include: escrow agent selection and costs (shared equally), deposit contents and update cadence (at least quarterly), verification procedures, release triggers (cessation of business, bankruptcy, uncured material breach after 60 days), and scope of release license. If the Parties cannot agree on escrow terms by Month 4, either Party may raise the matter under the dispute resolution process in Section 17.

11. TERMINATION

11.1 Termination for Convenience: Either Party may terminate this MOU with thirty (30) days written notice during the Pilot Period.

11.2 Termination for Cause: Either Party may terminate immediately upon written notice if the other Party:

- (a) Materially breaches this MOU and fails to cure within thirty (30) days of written notice specifying the breach;
- (b) Files for bankruptcy, is adjudicated insolvent, or makes an assignment for the benefit of creditors;
- (c) Ceases to carry on business.

11.3 Termination for Regulatory/ToS Change: Either Party may terminate with thirty (30) days notice per Section 7.4 or 7.6.

11.4 Termination for SLA Breach: GuardSpine may terminate per Section 6.3(b).

11.5 Effects of Termination:

- (a) GuardSpine shall cease generating new Evidence Bundles containing Probe Data within thirty (30) days of the termination effective date, EXCEPT during any Transition Period under Section 10.2(b)(iii), during which new bundle generation may continue.
- (b) GuardSpine retains the perpetual embedded data rights in Section 4.2 for all bundles generated prior to termination (or during any Transition Period).
- (c) Outstanding revenue share payments for the final quarter shall be settled within sixty (60) days.
- (d) The following provisions survive termination: 4.2 (embedded data rights), 7.5-7.7 (indemnification for pre-termination use), 8 (IP), 9 (patent warranty for pre-termination use), 12 (data handling), 14 (liability), 17 (governing law), and 18 (general provisions).
- (e) The perpetual licenses in Section 8.2 survive termination.

12. DATA HANDLING AND PRIVACY [BINDING]

12.1 Probe Data Design: Proprioceptive AI represents that Cognitive Probe outputs are designed to consist of derived metrics (numerical scores, statistical measures) and not raw model activations, weights, or training data reconstructions. Both Parties acknowledge the theoretical risk that derived metrics could, in edge cases, correlate with specific training data; the mitigation for this risk is addressed in Sections 12.2-12.4.

12.2 Minimization: Proprioceptive AI shall maintain technical controls to minimize the extraction of information beyond

derived metrics, and shall document these controls in its API documentation.

12.3 PII Incident Response: If either Party discovers or reasonably suspects that Probe Data contains personally identifiable information, it shall notify the other Party within seventy-two (72) hours. Both Parties shall cooperate to remediate, which may include filtering, anonymization, modification of probe parameters, or suspension of affected probe functions.

12.4 Compliance: Both Parties shall comply with applicable data protection laws with respect to any personal data processed in connection with this MOU. If either Party's enterprise customers require a Data Processing Agreement (DPA) or Standard Contractual Clauses (SCCs), the Parties shall negotiate such addenda in good faith.

12.5 Data Retention: Upon termination, Proprioceptive AI shall delete any GuardSpine customer data or evidence bundle content received through the integration within thirty (30) days, and certify deletion in writing. This does not apply to aggregated, anonymized usage metrics.

12.6 Security: Both Parties shall maintain reasonable security measures appropriate to the sensitivity of the data processed, including encryption in transit (TLS 1.2+) for all API communications. Specific security requirements for Phase 2 (including penetration testing and SOC 2 targets) shall be negotiated as part of the definitive agreement.

13. NON-SOLICITATION [BINDING]

13.1 During the Pilot Period and for twelve (12) months following termination, neither Party shall directly solicit for employment any employee of the other Party who was materially involved in the integration work, without prior written consent.

13.2 This restriction does not apply to general job postings or to employees who initiate contact independently.

14. LIMITATION OF LIABILITY [BINDING]

14.1 EXCEPT FOR OBLIGATIONS UNDER SECTION 7.5-7.7 (INDEMNIFICATION), SECTION 9.3 (PATENT DEFENSE), BREACHES OF CONFIDENTIALITY OBLIGATIONS UNDER THE MUTUAL NDA REFERENCED IN SECTION 18.2, AND WILLFUL MISCONDUCT, NEITHER PARTY SHALL BE LIABLE TO THE OTHER FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR

PUNITIVE DAMAGES, REGARDLESS OF THE FORM OF ACTION OR THEORY OF LIABILITY.

14.2 EXCEPT FOR THE EXCLUSIONS IN SECTION 14.1, EACH PARTY'S TOTAL AGGREGATE LIABILITY UNDER THIS MOU SHALL NOT EXCEED THE GREATER OF: (A) THE TOTAL REVENUE SHARE PAYMENTS MADE OR OWED DURING THE TWELVE (12) MONTHS PRECEDING THE CLAIM; OR (B) \$50,000.

14.3 THE LIMITATIONS IN THIS SECTION 14 SHALL APPLY EVEN IF A PARTY HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES AND REGARDLESS OF WHETHER ANY REMEDY FAILS OF ITS ESSENTIAL PURPOSE.

15. PILOT PERIOD AND MILESTONES

15.1 The Pilot Period begins on the date both Parties execute this MOU and the accompanying Mutual NDA, and runs for six (6) months.

15.2 Key milestones:

MONTH 1: NDA and MOU signed. Technical specifications exchanged under NDA. API/SDK access provisioned. Integration architecture agreed. Joint ToS compliance review completed (Section 7.3). Calibration protocol defined (Section 3.1(d)(iv)).

MONTH 2: Prototype integration complete. Probe Data flowing into test Evidence Bundles. Latency benchmarks established.

MONTH 3: Internal validation. Performance benchmarking against Section 3.1(d) criteria. Schema finalized and documented. Written status report delivered.

MONTH 4: Beta release to at least one enterprise prospect (Section 5.3(a)). Feedback collection begins. Source code escrow terms agreed (Section 10.3).

MONTH 5: Iterate based on feedback. Include Probe Data in at least three prospect demonstrations (Section 5.3(b)). Joint case study completed. Phase 2 negotiation begins.

MONTH 6: Pilot review against success criteria. Go/no-go decision on production agreement. Written status report delivered. Exclusivity threshold assessed (Section 5.3(c)).

15.3 Governance: Monthly check-in calls between David Youssef and Logan Napolitano (or designated technical leads).

15.4 Extension: The Pilot Period may be extended by mutual written agreement for up to an additional three (3) months

if integration is progressing but success criteria have not yet been fully met.

16. BINDING STRUCTURE

16.1 This MOU contains both binding and non-binding provisions, as specified below.

16.2 THE FOLLOWING SECTIONS ARE LEGALLY BINDING upon execution:

Section 4.1 (Pilot License Grant)

Section 4.2 (Post-Termination Embedded Data Rights)

Section 5 (Exclusivity) -- in its entirety

Section 6 (Service Levels) -- in its entirety

Section 7 (Third-Party Compliance) -- in its entirety

Section 8 (Intellectual Property) -- in its entirety

Section 9 (Patent Warranty) -- in its entirety

Section 10 (Change of Control) -- in its entirety

Section 11.5 (Effects of Termination)

Section 12 (Data Handling) -- in its entirety

Section 13 (Non-Solicitation)

Section 14 (Limitation of Liability) -- in its entirety

Section 17 (Governing Law) -- in its entirety

Section 18 (General Provisions) -- in its entirety

16.3 ALL OTHER SECTIONS (including 1, 2, 3, 4.3-4.7, 11.1-11.4, 15) represent the Parties' good-faith intent and shall guide negotiation of a definitive agreement. These sections are not legally enforceable as contractual obligations.

16.4 A definitive agreement with fully binding commercial terms shall be negotiated and executed separately if both Parties elect to proceed beyond the Pilot Period.

17. GOVERNING LAW AND DISPUTE RESOLUTION [BINDING]

17.1 This MOU shall be governed by the laws of the State of Delaware, without regard to conflict of laws principles.

17.2 Any dispute arising from this MOU shall first be subject to good faith negotiation between the Parties' principals for a period of thirty (30) days.

17.3 If unresolved, disputes shall be submitted to binding arbitration under the rules of the American Arbitration Association, conducted in a mutually agreed neutral location, by a single arbitrator with experience in technology licensing.

17.4 Notwithstanding Section 17.3, either Party may seek injunctive or other equitable relief from any court of

competent jurisdiction to protect its intellectual property rights, confidential information, or exclusivity rights under Section 5, without first submitting to arbitration and without the necessity of posting a bond.

17.5 The prevailing Party in any arbitration or legal proceeding shall be entitled to recover reasonable attorneys' fees and costs.

18. GENERAL PROVISIONS [BINDING]

18.1 Notices: All notices shall be in writing and delivered by email with read receipt, or by nationally recognized overnight courier, to the addresses listed in the Parties section above.

18.2 Entire Agreement: This MOU, together with the Mutual NDA, constitutes the entire understanding between the Parties regarding the subject matter herein. In the event of conflict between this MOU and the Mutual NDA, the Mutual NDA shall govern with respect to confidentiality obligations, and this MOU shall govern with respect to all other matters.

18.3 Amendment: This MOU may be amended only by written instrument signed by both Parties.

18.4 Waiver: Failure to enforce any provision shall not constitute a waiver of future enforcement.

18.5 Severability: If any provision is held invalid, the remaining provisions shall continue in full force.

18.6 Counterparts: This MOU may be executed in counterparts. Electronic signatures are valid and binding.

18.7 Force Majeure: Neither Party shall be liable for delays caused by events beyond its reasonable control, including but not limited to natural disasters, government actions, pandemics, or infrastructure failures, provided the affected Party gives prompt notice and uses reasonable efforts to mitigate.

18.8 Independent Contractors: The Parties are independent contractors. Nothing in this MOU creates a partnership, joint venture, agency, or employment relationship.

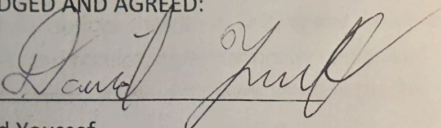
18.9 Publicity and Trademarks: Neither Party shall use the other Party's name, logo, or trademarks in any public communication, press release, or marketing material without prior written consent. Consent for specific uses may be granted on a case-by-case basis and does not constitute blanket permission.

18.10 Export Controls: Both Parties shall comply with applicable export control laws and regulations. Neither Party shall export or re-export any Confidential Information or technology received under this MOU in violation of applicable law.

18.11 Assignment: Neither Party may assign this MOU without the prior written consent of the other Party, except as provided in Section 10 (Change of Control).

ACKNOWLEDGED AND AGREED:

GuardSpine

Signature: 

Name: David Youssef

Title: Founder

Date: 02/25/2026

Proprioceptive AI

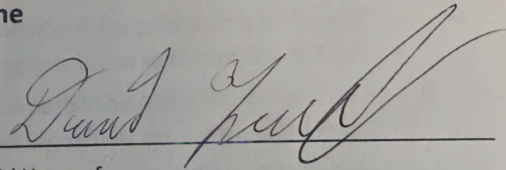
Signature: _____

Name: Logan Napolitano

Title: CEO

Date: _____

GuardSpine

Signature: 

Name: David Youssef

Title: Founder

Date: 02/25/2026

Proprioceptive AI

Signature: _____

Name: Logan Napolitano

Title: CEO

Date: _____